of a policy change, which are smaller in their scope. But with the passage of time, all parts of the system adjust, and we achieve the full general equilibrium effects. Conversely, to think about the long run requires general equilibrium thinking. These themes are visible in thinking about trade liberalization, the GST reform, Direct Tax Code (DTC), customs reforms, etc. In each of these, there is a short-run effect, which is often fairly painful for a narrow section of society, but with a lag, the full general equilibrium effects kick in, which give overall gains to society.

There was a time when customs duty collections were as large as 3 per cent of GDP, and it was easy to argue that trade liberalization would present considerable fiscal difficulties. Indian policymakers were particularly clear-headed in going forward with duty reductions which apparently gave reduced tax revenues. The key idea was that deepening ties with the world would improve GDP and thus feed back into other tax revenues. This insight was borne out by the outcomes. While customs duties vanished in importance, the other taxes grew well, based on the buoyant GDP growth that was assisted by trade liberalization.

Summing up

We normally see a few firms or an industry at a time. But actually, all parts of the economy are connected together in ‘general equilibrium’. Every change in one firm or one market induces ripples in every other market. The full general equilibrium effects play out slowly.

In areas like tax policy, globalization, agriculture, or universal basic income, general equilibrium thinking has a lot to offer in understanding the policy issues.